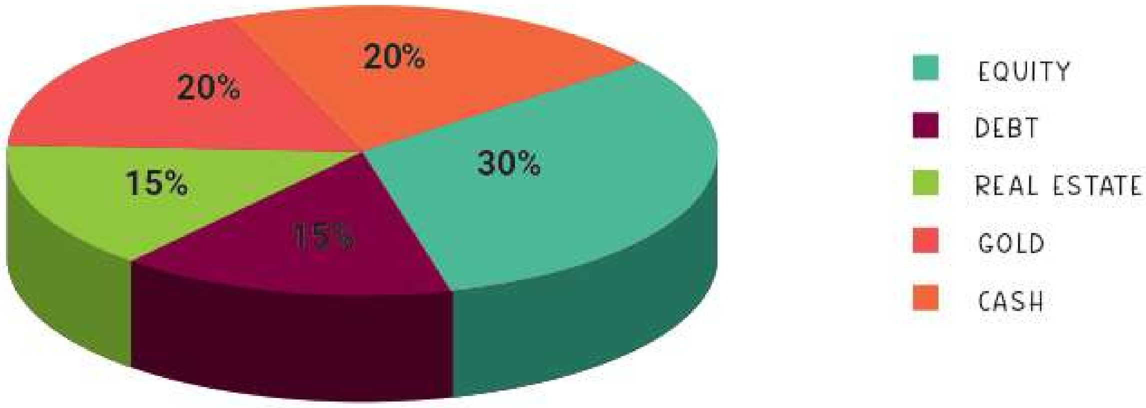
THE 1% RULE



CAPITAL ALLOCATION

The 1% rule basically talks about appropriate capital allocation. It answers the question of how much to invest in a trade?1% rule says that you should never be in a position where you lose more than 1% of the portfolio on a single trade. This is something that will reduce the size of winners too but ensure survival in the market.

For instance,
if you have a capital of ₹10,000, you must not lose more than ₹100 in a single trade. This is a strategy to ensure survival by trading in limited quantities.
With this rule in place, we will have to consistently lose on a large number of trades to for our portfolio to be wiped out. This ensures survival in the market.

For example, lets say our portfolio is ₹10,000. We buy a call option. We will never spend more than ₹100 for the entire lot of the option if we plan to hold it till maturity.
Similarly, when we short a futures contract, we may want to buy a call option in such a way that maximum losses are limited to ₹100. At times, this 1% bar can be raised to 2% per trade by a trader. The bottom line is that we don't risk survival under any circumstances.